

ECON 108

INTRODUCTION TO ECONOMICS

INSTRUCTOR: ALEJANDRO MELO PONCE

My office hours

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Office hours:

- Thursdays 3:00PM-5:00PM
- And by appointment.

Use all the help you have available!

Graduate TA: Tilsa Oré Monago

Office hours: Wednesdays 2:00–4:00 PM, SBS N602-B

Undergraduate TA: Gurwinder Singh

Office hours: Tuesdays 11:00 AM–1:00 PM, SBS Economics Department Lobby

TEXTBOOK

The required textbook is: *Economics Today*, by Roger LeRoy Miller. Customized version for Eco 108, Pearson, 2015.

We will use only selected chapters.

The access code to MyEconLab **is required** for assignments' submission.

Also, MyEconLab contains more material and practice questions from which you can study.

GRADING POLICY

- Homework assignments (40%)
 - Six assignments
 - Due three days after assigned at 11:00 PM
 - I will drop the worst one.
- Midterms (60%)
 - Three midterm exams
 - Not comprehensive
 - I will drop the worst grade.
 - **No make-up exams** and the **date is fixed**. Please let me know ASAP if you can't make it to one of the exams.

The letter grade assignment is **final and strict**.

Extra Credit: *I want you to be here!*

There is the chance to earn up to 10% extra credit for your grade if you attend at least 90% of the lectures (14) and you are actively engaged in the class discussion.

I will pass an attendance roster at the beginning of the class.

To earn this credit, I expect that you come **well prepared** to class. That means that you should read the relevant chapter that will be the topic of the day's lecture **before class**.

Inattentive students (e.g. students reading newspapers or doing web browsing unrelated to class discussion) will be considered “absent” for extra credit purposes.

Important Dates

- Wednesday 10, June 2015: 1st Midterm
- Thursday 18, June 2015: 2nd Midterm
- Thursday 2, July 2015: 3rd Midterm

LEARNING TIPS

Use the website and the available materials

Ask questions:

"There are naive questions, tedious questions, ill-phrased questions, questions put after inadequate self-criticism. But every question is a cry to understand the world. There is no such thing as a dumb question" (Carl Sagan)

Come to my office hours and the TAs office hours.

Read in advance

THE NATURE OF ECONOMICS

CHAPTER I

CHAPTER OUTLINE

The Power of Economic Analysis

Defining Economics

Economic Modeling

Microeconomics versus Macroeconomics

The Economic Person: Rational Self-Interest

Positive versus Normative Economics

THE POWER OF ECONOMIC ANALYSIS

The economic way of thinking is a framework to analyze solutions to economic problems, such as:

- How the prices of labor, capital, and land are set in the economy, and how these prices are used to allocate resources.
- How financial markets allocate capital to the economy.
- How government regulations affect market efficiency .

THE POWER OF ECONOMIC ANALYSIS

Economics also examines how

- income is distributed among the population.
- government spending, taxes, and debt affect growth.
- firms compete in different market structures.
- consumers allocate their income among different goods and services.

THE POWER OF ECONOMIC ANALYSIS

Also,

- Examines the patterns of trade among nations, and analyses the impact of trade barriers.
- Looks at the growth in developing countries, and proposes ways to encourage the efficient use of resources.

THE POWER OF ECONOMIC ANALYSIS

But also, economics is a way of thinking about all decisions, such as:

- Fertility.
- Schooling.
- Crime.
- Having a child.

DEFINING ECONOMICS

ECONOMICS studies how
People make decisions !

DEFINING ECONOMICS

Economics

- Is the study of how societies use scarce resources to produce valuable commodities and distribute them among different people (Samuelson, 1948)

DEFINING ECONOMICS

In other words,

- Is the study of how people allocate their limited **resources** to satisfy their unlimited **wants**.

More generally,

- The study of how people make choices

DEFINING ECONOMICS

Resources

- Things used to produce other things to satisfy people's wants.

Wants

- What people like → represented by an **utility function**.

Utility Function

$$U = U(x_1, x_2, x_3, \dots)$$

x_1 : cars

x_2 : number of friends

x_3 : Going out on weekends,

and so on...

You can think about it as a measure of happiness...

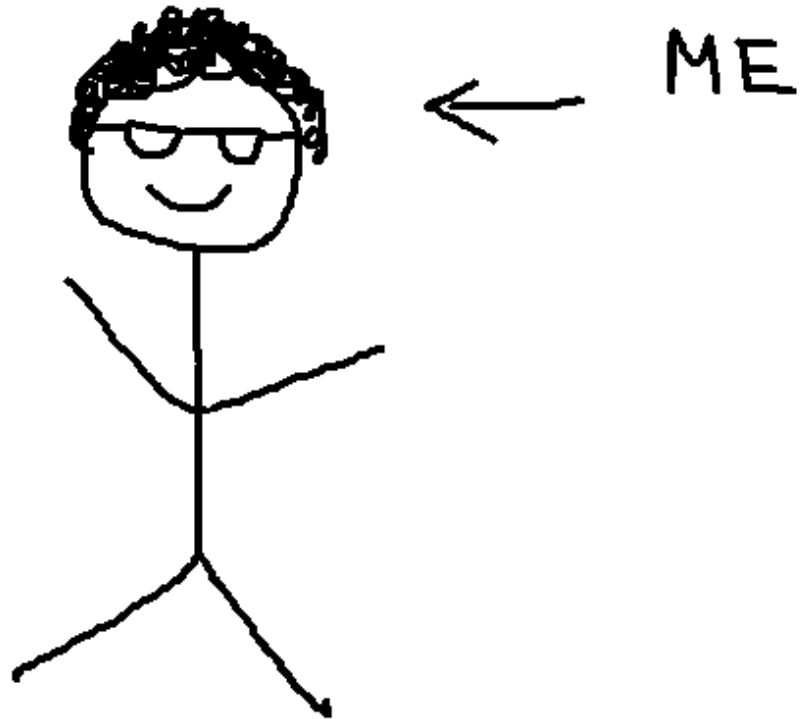
ECONOMIC MODELING

Economic Models

- Models are simplified representations of the real world used as the basis for predictions or explanations
- A map and getting directions are examples of models

ECONOMIC MODELING

A model of your
instructor



ECONOMIC MODELING

Assumptions

- The set of circumstances in which a model is applicable

ECONOMIC MODELING

Three important assumptions:

- Self-interest behavior
- Rationality
- Ceteris Paribus

Self-interest assumption

“It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from the regard to their own interest”

Adam Smith, An Inquiry into the Nature and Causes of the Wealth of Nations, 1776.

Self-interest assumption

Economic agents maximize their “*utility*” or “*well-being*.”

Self-interest assumption

The pursuit of one's goals

- Humanitarian
- Prestige
- Wealth
- Power
- Friendship

Rationality assumption

People do not intentionally make decisions that would leave them worse off

The Economic Person: Rational Self-Interest

The *self-interest* and the *rationality* assumptions imply that economic agents make decisions to maximize their utility subject to their constraints.

Ceteris Paribus assumption

Nothing changes except the factor or factors being studied.

Economics as a Science / Economics as an Art

Economics is an **empirical** science.

- Real-world data is used to evaluate the usefulness of a model.
- Models are useful if they predict economic phenomena.

Economic models predict how people react, not how they think.

Economics as a Science / Economics as an Art

Does the fact that some people make apparently irrational choices invalidate the use of assumptions in economics? Are individuals rational? Are they self-interested?

A Story: Day-Care in Haifa

The problem:

- Children are supposed to be picked up by 4:00 p.m.
- Some parents are late →
- Anxious children
- At least one teacher that has to wait until all parents arrive

A Story: Day-Care in Haifa

The proposal:

- Two Economists suggested to fine tardy parents
- Any parent arriving more than 10 min. late would pay \$3 per child for each incident. The fee would be added to the monthly bill (avg. \$380)

A Story: Day-Care in Haifa

The result:

- Before the fine: Avg. 8 late pickups per week per day-care center
- After the fine: Avg. 20 late pickups per week....!!! **Why???**

Incentives!!!

Incentives

Individuals respond to incentives by weighting costs and benefits. An *incentive* is a mean of inducing people to do more of a good thing and less of a bad thing.

Incentives

Positive incentives encourage an action by rewarding some behavior (more of a good thing).

Negative incentives encourage an action by penalizing some behavior (less of a bad thing).

Incentives

Some examples of incentives

- A relative will buy you a laptop you get an A in ECO 108
- A relative will take your car away if you get a D in ECO 108
- Discounts: if you sign in for 6 months at the gym you'll only pay \$40 per month instead of paying \$60 if you get a monthly subscription

Incentives

Some examples of incentives (Cont.)

- Tax amnesties: the government will forgive some portion of your tax dues if you pay before certain date.
- The US govt. will impose higher tariffs on countries setting higher tariffs on American imports.

Incentives

Sometimes economists refer to **direct incentives** and **indirect incentives** to refer to intended consequences and unintended consequences on behavior.

What is the **direct incentive** of giving bonus points for attendance?

What could be an **indirect incentive** of giving bonus points for attendance?

Good economic policy making requires considering both direct and indirect incentives (As the daycare story told us).

MICROECONOMICS VERSUS MACROECONOMICS

Microeconomics

- The study of decision making undertaken by individuals (or households) and by firms
 - Investment in R&D
 - Crime
 - Education
 - Business Strategy.

MICROECONOMICS VERSUS MACROECONOMICS

Macroeconomics

- The study of the behavior of the economy as a whole
 - Inflation
 - Business Cycles – recessions, peaks, etc.
 - Taxes
 - Unemployment

POSITIVE VERSUS NORMATIVE ECONOMICS

Positive Economics

- Purely descriptive statements or scientific predictions—a statement of *what is*

Normative Economics

- Analysis involving value judgments—a statement of *what ought to be*

More about modelling...

Based on your understanding of your roommate's preferences, you predict that he will select the spaghetti for his lunch at the cafeteria, but instead he chooses the gyros. How do you describe this event in terms of economic theory?

- a) Your roommate is irrational
- b) Your roommate does not know what is in his own best interests
- c) You roommate does not know his own preferences as well as you do
- d) You constructed a model that made a prediction, and the prediction was refuted

Micro vs Macro

The impact of an increase in the gasoline tax on SUV sales is

- a) a macroeconomics topic because it deals with taxes.
- b) a microeconomic topic because it deals with one industry.
- c) not an economic issue, but rather a political issue.
- d) significant.

◦ Which of the following article topics is a macroeconomic subject?

- a) A proposed merger between two companies
- b) The level of Christmas sales at a particular department store
- c) The unemployment rate of the United States economy as a whole
- d) The advertising strategy of a particular automobile firm

Positive vs. Normative

Which of the following is a normative economic statement?

- a) If price rises people will buy less.
- b) If price rises, people will buy more.
- c) If price rises, the poor will be injured; therefore price should not be permitted to rise.
- d) If price rises, people will buy less; therefore we ought to observe that quantity demanded falls.

Which of the following is a positive economic statement?

- a) Full employment policies should be pursued.
- b) If minimum wage rates rise, then unemployment will rise.
- c) We should take from the rich and give to the poor.
- d) The government should help the homeless.

Test your knowledge

If a politician stated, “All Americans should be entitled to public healthcare,” this statement would be considered

- A) A positive statement.
- B) A macroeconomic statement.
- C) A microeconomic statement.
- D) A normative statement.
- E) Funny.

Reading and working with graphs

Important concepts:

- *Function.*
- *Independent variables and dependent variables.*
- *Discrete variables and continuous variables.*
- *Direct relationship and inverse relationship.*
- *Graph.*

Reading and working with graphs

Important concepts (cont.):

- *Linear functions.*
- *Constant function and identity function.*
- *Slope.*
- *Tangent.*
- *Shift of and Movement along Curves*

END OF CHAPTER I!
